



इण्डियन ओवरसीज बैंक
Good People To Grow With

Indian Overseas Bank
Pal Branch
Shop No. 3 & 4 Galaxi Imperia, Near CNG Petrol Pump,
(L.P Savani Road), Pal Canal Road, Surat. (Address)
Tel.:- 0261-2765580
IFSC Code: IOBA0003017

CREDIT SANCTION ADVICE-PRIVATE & CONFIDENTIAL

(This sanction letter contains 12 pages-Any alteration in the sanction letter requires authentication)

Date: 28.04.2023

To

M/s. Badri Tex
Proprietor- Mr. Ashvinkumar Karamshibhai Koshiya
Ground Floor, Plot No 163 ,
Om Textile Park Vibhag-3, Umbhel Parab Road,
Parab, Kamrej, Surat-395008.
(M): +91 9909407373 (Borrower)

Mrs. Payal Ashvinkumar Koshiya
Plot no. 22, Vrajbhumi Row House,
Ambatalavadi Chowk, Katargam,
Surat-395004 (Guarantor/s)

Dear Sir(s)/Madam(s),

CREDIT SANCTION ADVICE

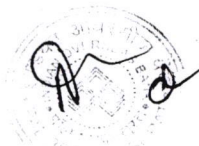
We refer to your loan application. We also refer to the related correspondence and discussions seeking clarifications on various points raised by you / us and the consensus of the terms and conditions and the credit facilities arrived. We take pleasure in advising that the Competent Authority of the Bank has sanctioned the following credit facilities subject to compliance of the terms and conditions as appended to this communication .

Nature of facility	Limits sanctioned(Rs. In lakhs)	
	Existing	Revised
Term Loan	---	37.38
Cash Credit	---	---
Total	---	37.38

As and when you avail the said credit facilities, renewal of the limits at our option is due (i) at the end of twelve months from the date of this communication (valid up to

For, BADRI TEX
A. [Signature]
Proprietor

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For BADRI TEX
[Signature]
Proprietor

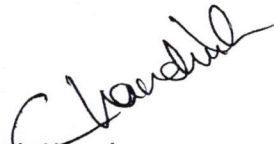
one year) or (ii) from the date of our letter, if any, advising revalidation of this sanction.

Please note that bank reserves its right to amend, alter or vary the terms and conditions or withdraw all or any of the credit limits sanctioned at any time at its discretion without assigning any reasons whatsoever.

Please arrange to comply with the terms and conditions of the above sanction as detailed in the Annexure and execute the necessary security documents upon completion of which the limits shall become operative.

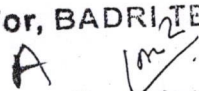
This sanction advice is being delivered to you in duplicate along with the annexures. Kindly return the duplicate copy of this Sanction Advice and Annexure duly signed on all pages by you as also by the guarantor/s in token of your acceptance of Credit facility(ies) sanctioned to you on the Terms and Conditions specified therein.


Manager II Line


Branch Head

For BADRI-TEX

Proprietor

For, BADRI-TEX

Proprietor

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Acknowledgement

We are thankful to the bank for providing clarifications sought by us regarding this sanction. We are fully satisfied with and accept the terms and conditions of sanction of the credit facilities stipulated above by the bank as the same were arrived at by consensus after discussions and receiving clarifications.

Signature of all Borrowers with date

Signature of all Guarantors with name and date.

Mr. Ashvinkumar Karamshibhai Koshiya (Borrower) For, BADRI TEX  Proprietor	Mrs. Payal Ashvinkumar Koshiya (Guarantor) 

For BADRI TEX

Proprietor



ANNEXURE – I

SIGNIFICANT TERMS AND CONDITIONS OF SANCTION LETTER DATED 28.04.2023

A. SECURITY:

a) Primary:

Limits sanctioned:		Rs. in Lakhs
Nature of facility	Amount	Prime Security
Term Loan	37.38	Hypothecation of Plant and Machinery
Cash Credit	0.00	
TOTAL	37.38	

Nature of Security	Market value	Forced sale value	Valuation
			Date & name of Approved valuer
All that piece and parcel of the property bearing New Plot No. 22(Old Plot No. C/4) (as per promulgation of 7/12 New Block No. 100/22) admeasuring 41.40 sq. mtrs with adjoining margin admeasuring 21.75 sq. mtrs, total admeasuring 63.15 sq. mtrs with construction of ground floor and first floor admeasuring 95.61 sq. mtrs as per SMC Tax Bill at " Vrajbhumi Row House ", situated on the land bearing revenue survey no. 100, Town Planning Scheme No. 19 (Katargam), Final plot No. 8 of Village : Katargam, City : Surat, Sub District : Taluka Choryasi (at present Katargam), District : Surat, its Municipal Tenement No. 019F-33-1431-0-001 stands in the name of Payalben Ashvinbhai Koshiya and Ashvinkumar Karamshibhai Koshiya. (This property is common collateral for term loan of Rs.37.38 lacs each sanctioned to subject firm and M/s Shree Vihal Fabrics)	64.46	51.50	Valuation report dated 12.04.2023 by Panel Valuer Mr. Nikunj M Choksi
TOTAL	64.46	51.50	

b) Collateral:

Rs. in lacs

(This property is common collateral for term loan of Rs.37.38 lacs each sanctioned to subject firm and M/s Shree Vihal Fabrics)

c) Guarantees:

Personal guarantee of the following should be obtained for :

Name	DOB	Permanent Address	Net Worth	As on
Mrs. Payal Ashvinkumar Koshiya	24-11-1989	Plot no. 22, Vrajbhumi Row House, Ambatalavadi Chowk, Katargam, Surat-395004	15.70 Lacs	31-03-2023

For, BADRI TEX

 Proprietor



For BADRI TEX

 Proprietor

Details of Corporate Guarantee, if any: Not Applicable

B. MARGIN: (for each type of facility):

a) Term Loan: 25.02% of the Proforma Invoice of Machinery.

Rs.in lacs

Product	Quantity	Supplier	Unit Price	Total Amount
05 SET HIGH SPEED WATER JET LOOM WORKING WIDTH 280CM, SINGLE NOZZLE WITH ONE ELECTRONIC FEEDER XINLIAO, CAM SHEDDING (4 SHAFT), WITH STANDARD ACCESSORIES.	05 Set	LOOM DRAPE INDIA PVT. LTD	5,15,000.00	25,75,000.00
03 SET HIGH SPEED WATER JET LOOM WORKING WIDTH 280CM, SINGLE NOZZLE WITH ONE ELECTRONIC FEEDER XINLIAO, CAM SHEDDING (7 SHAFT), WITH STANDARD ACCESSORIES. (EACH LOOM EQUIPPED WITH 4 PCS. HEALD FRAMES (4 SHAFT) 7 PCS. HEALD FRAMES (7 SHAFT) 10,000 HEALD WIRES REED 1 PC., PICK GEAR 1 PC.)	03 Set	LOOM DRAPE INDIA PVT. LTD	5,50,000.00	16,50,000.00
IGST			18%	7,60,500.00
Total	08 Set			49,85,500/-

b) Cash Credit / Packing Credit:

Particulars	As per Existing sanction	As per Proposed sanction
Stock	Not Applicable	Not Applicable
Receivables	Not Applicable	Not Applicable

c) MCC / CC-ETF

Particulars	As per Existing sanction	As per Proposed sanction
Not Applicable	Not Applicable	Not Applicable

d) Bills:

Particulars	As per Existing sanction	As per Proposed sanction
Inland	Not Applicable	Not Applicable
Foreign	Not Applicable	Not Applicable

e) Non Fund Based limits:

Particulars	As per Existing sanction	As per Proposed sanction
Letter of Credit	Not Applicable	Not Applicable

For, BADRI TEX
Proprietor



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Letter of Guarantee	Not Applicable	Not Applicable
Others	Not Applicable	Not Applicable

C. RATE OF INTEREST: (for each type of facility)

Type of Facility	As per Existing sanction	As per Proposed sanction
Term Loan	Not Applicable	RLLR + spread of 2.05% i.e. 11.40 % presently
Cash Credit	Not Applicable	Not Applicable
Packing Credit	Not Applicable	Not Applicable
Bills	Not Applicable	Not Applicable

❖ Interest rate is subject to revision/increase and the periodical change in the benchmark rate will be displayed in the Bank's website from time to time.

D. OTHER CHARGES:

a) **Applicable** Processing fees and Upfront fees will be recovered and will not be refunded even if you do not take up the limits, revalidate the sanction or foreclose the loan / facilities.

b) Exchange and commission as per the Bank's guidelines as detailed hereunder shall be recovered.

Nature of Facility	Schedule of Charges
Bills – Inland	Not Applicable
Bills – Foreign	Not Applicable
Letter of Credit – Inland	Not Applicable
Letter of Credit – Foreign	Not Applicable
Letter of Guarantee	Not Applicable

c) Commitment charges of 0.50% will be charged on unutilized portion of working capital facility subject to tolerance level of +/-20% for each limit.

E. REPAYMENT SCHEDULE: (for each type of facility)

Nature of Facility	Repayment Schedule
Term Loan	Door to door tenor of loan is 72 months . The term loan of Rs.37.38 lacs is repayable in 66 installments; 65 installments of Rs. 56636/- each and last installment of Rs. 56660/- with an initial moratorium of 6 months from the date of first disbursement. Interest is to be serviced separately as and when due including moratorium period.
Cash Credit	Not Applicable
Packing Credit On demand	Not Applicable
Bills	Not Applicable

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F. INSURANCE:

All the securities both prime and collateral shall be comprehensively insured against fire, strikes, riots and civil commotion, malicious damage, burglary and other risks as may be deemed necessary by the Bank. Insurance cover to be preferably obtained from Universal Sampo General Insurance Co. Ltd., If the rates are competitive.

G. INSPECTION:

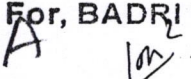
The prime and collateral securities shall be inspected monthly by the Credit Officer and quarterly by the Branch Head. Inspection charges as per extant guidelines of the Bank shall be recovered. Borrower should ensure/facilitate free access to the Unit/ documents/files for inspection by the bank officials.

PRE-RELEASE CONDITIONS:

- 1) All procedural formalities relating to lending to limited companies should be complied with.
- 2) The limits / loan will be released after execution of related documents and creation of mortgage / supplemental mortgage, if any.
- 3) In respect of the properties given as prime / collateral security, Legal Opinion / Valuation report from approved lawyer / valuer should be obtained. If the existing valuation is more than three years old, fresh valuation from approved engineer should be obtained. In respect of properties valued for Rs.5 crores & above, fresh valuation should be obtained after completion of two years from the date of previous valuation **from a panel valuer different from the one who did the previous valuation.**
- 4) Formalities with regard to creation of equitable mortgage / supplementary narration in the title deeds register should be completed as per guidelines and all documents shall be obtained as per legal opinion from our approved lawyer in our standard format including BPEC and ensure clear and marketable title of the property.
- 5) In accordance with the Extant Guidelines issued by Credit Support Services Department, C.O. as in force complete vetting of documents to be done before release of funds under sanctions at various levels.
- 6) **Credit report of the suppliers of Machinery to be obtained before the release of term loan.**
- 7) **Margin is brought in upfront before release of loan.**
- 8) Letter of undertaking to be obtained from the subjects to bring adequate own funds by way of additional capital / unsecured loans so as to maintain the TOL/TNW and current ratio at the rates prescribed by the Bank.
- 9) Letter of undertaking to be obtained from the company to utilize the credit facilities for the purpose for which it is sanctioned and not to indulge in Capital Market and other speculative activities.
- 10) **Letter of undertaking to be obtained from the subjects authorizing the bank to cancel the entire sanctioned limit / unavailed portion of the sanctioned limit without assigning any reasons therefore.**
- 11) Borrower to submit an undertaking that "No third-party involvement at any stage in the loan sanction process.
- 12) Borrower to submit an undertaking, that the profits earned by the firm are retained into the system and TNW is maintained with addition of profits of respective years.

OTHER SIGNIFICANT CONDITIONS:

a) All the formalities for mortgage/creation of charge on securities to be completed including registered memorandum and obtention of upto date Broken Period Encumbrance Certificate and latest tax paid receipt.

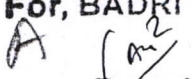
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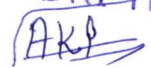
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- b) The sanctioned credit facilities – fresh/enhancement shall be released only upon receipt of permission from the competent authority as per the extant internal guidelines on pre-release clearance including vetting of documents.
- c) Mortgage to be registered with CERSAI within the stipulated time.
- d) Our Charge on the securities of the Company has to be filed with ROC within the prescribed period and search certificate would be obtained for verification at the cost of the borrower.
- e) Valuation reports from 2 approved Valuers to be obtained prior to release of limits. In case, the variation between the two is more than 10%, 3rd valuation report from another Valuer from the panel to be obtained.
- f) Stipulation on capital infusion or conversion of unsecured debt to equity or withdrawal of unsecured debt out of the business (wherever applicable).
- g) Other significant terms, if any (as stipulated by the sanctioning authority)
- h) In accordance with RBI Guidelines, all credit exposures of Rs.5 crore and above to periodic legal audit and re-verification of title deeds with relevant authorities as part of regular audit exercise till the loan stands fully repaid. Accordingly in applicable cases, Legal Audit will be conducted at borrower's cost.**
- i) Branch shall implement such of those latest instructions as approved by the Board/MCB and duly circulated by the Central Office and the new guidelines introduced with respect to loan documentation, between the date of sanction and the date of availment.
- j) Notwithstanding anything contained in the Sanction TERMS, THE Bank at any point of time reserves the absolute right to cancel the limits (either fully or partially) unconditionally without prior notice (a) in case of borrower's credit worthiness and/or (b) in case of non-compliance of terms and conditions of the Sanction and/or (c) in case of the limits/ part of the limits are not utilized by you.

For, BADRI TEX
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OTHER TERMS AND CONDITIONS OF SANCTION LETTER DATED 28.04.2023**1. Right of Recall:**

a) The credit facility should be utilized for the specific purpose for which the same has been sanctioned and if the bank has reason to believe that the borrower has violated, or apprehends that the borrower is about to violate the said conditions the Bank shall have the option to exercise its right to recall the entire loan or any part thereof at once, in addition to its right to withdraw the undrawn limits, notwithstanding anything contrary contained in this Sanction Advice.

It is affirmed that this right is without prejudice to the Bank's right to demand the Loan amount for violation of other terms and conditions of the sanction and/or the terms reflected in the loan/ security documents to be executed by the borrower.

b) The referred credit facility is extended solely at the Bank's discretion. In addition to what is stated in point 1, the Bank reserves the right to withdraw partially/wholly or regulate such credit facility on the occurrence of any one of the following events of the Borrower:

- i. Non-compliance with terms and conditions of sanction
- ii. Indulging in drawings beyond the sanctioned limits
- iii. Issuing cheques for purposes other than specifically agreed
- iv. Indulging in large cash withdrawals not commensurate with the requirements estimated.
- v. Indulging in activities, which are detrimental to the image/ interest of the Bank viz., acts that are unlawful, malafide etc.
- vi. Deterioration in the conduct of accounts/facilities in any manner whatsoever.

2. Deterrents for default:

a) In terms of directives in force now or as may be modified from time to time, default in repayment of instalments and/or servicing of interest for a notified period automatically results in categorization of all borrowal accounts as Non-Performing Asset (NPA). Such categorization renders the borrower ineligible from seeking (i) Additional/Ad-hoc credit facilities (Fund Based and/or Non-fund based), (ii) Waiver of overdue interest and (iii) Soft recovery measures.

b) Bank is under no obligation to consider the request of the borrower, if any, for additional Credit facility(ies) without a comprehensive review of the existing credit limits, operations in the accounts and past performance in meeting commitments such as servicing of interest charged to the Loan account(s), repayment of Loan instalments, prompt submission of stock-statements, upkeep of records and books of accounts, upkeep of machinery financed, honouring commitments under LC/LG promptly etc., as applicable to the purpose for which credit facility has been extended.

c) In the event of the borrowal account being overdrawn without prior agreement or exceeding the agreed borrowing limit or in the event of delay / non-submission of stock statement, the bank shall charge overdue interest at the rates specified from time to time.

d) If audited financials and certified stock statement as on 31st March of every year are not submitted before 31st October, a penalty of additional interest of 1% shall be levied from 1st November till the date of submission.

For BADRI TEX

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Proprietor

For, BADRI TEX

Proprietor



e) In case devolvement of LCs has taken place consecutively for **2 times**, all concessions allowed shall be withdrawn and applicable charges as per the rating and circulars in force shall be charged for the LC limit.

3. Revision in MCLR Rate and charging of interest:

a) In case of borrowal accounts where interest rate is linked to MCLR (Marginal cost of funds based Lending Rate) or where fixed interest rate is specified by the Bank, **changes if any**, in the Bank's MCLR and/or fixed rate specified by the Bank, shall be conveyed through Press Report or Publicity through media or a suitable 'Notice' placed in the banking hall of the branch and such mode of communication shall be construed as sufficient

'Notice' to the borrower about the **revisions effected in the interest rates**.

b) The applicable interest rate/s will be charged with monthly, or such other **rests** as may be notified by the Bank from time to time.

c) The interest will be calculated and charged as per the daily balances, to the borrowal account/s **until** the same is fully liquidated and the interest so charged will be **paid by the borrower** as per the terms agreed or as and when demanded by the Bank.

4. Prepayment of facilities: Prepayment of your borrowal accounts will be subject to the recovery of charges at the discretion of the Bank.

5. Copies of loan documents to be executed by the borrower for the credit facility(ies) referred herein, will be provided at his/her/their cost, on receipt of a specific request to the undersigned in writing.

6. End use of funds: Upon availment of credit facility on terms agreed, the borrower has to produce necessary documentary evidence for end-use and facilitate verification by the Bank. As and when called for, a certificate from their Auditor regarding end-use of the loan availed should be produced to the Bank.

7. Disclosure clause: All the borrowal accounts with our Branch/ Bank will be subjected to the application of disclosure- norms prescribed by RBI.

8. A. CIC Clause: The information / data pertaining to all the borrowal accounts shall be furnished to Credit Information Companies such as Credit Information Bureau of India Limited (CIBIL) and other Agencies / Authorities, from time to time in terms of mandatory provisions in force.

B. Information Utility Clause:

Financial information pertaining to all the borrowal accounts shall be submitted to Information Utility(ies) in terms of the Insolvency and Bankruptcy Code, 2016, Insolvency and Bankruptcy Board of India (Information Utilities) Regulations, 2017 and under the terms and conditions and applicable Bye-Laws of the Information Utility of the choice of Indian Overseas Bank. Such information submitted by Indian Overseas Bank from time to time shall be verified and authenticated from time to time by the borrower(s)/ guarantor(s) in the mode and within the time prescribed by the information utility. Applicable charges shall be borne by the borrower failing which the same is recoverable from the guarantor.

For, BADRI TEX

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For BADRI TEX

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Proprietor



9. Period of Validity of sanction:

a) This credit sanction is valid for an availment period of six months from the date of this communication. Unless availed within six months, this sanction **requires revalidation** by the Sanctioning Authority.

b) When the necessity for revalidation arises, the borrower has to submit a written request-letter to the branch furnishing the key financial parameters and the reasons for non-availment of credit facilities even after lapse of six months from the date of this communication. Such request for revalidation will be evaluated by the Sanctioning Authority and the validation of availment – period of sanction or otherwise will be communicated to the borrower. It is to be noted that request for revalidation of sanction will be entertained only once.

Particulars	Validity
Any Fresh / Enhanced Term Loan / Working Capital and Non Fund Based facilities	For availment : 6 months
All facilities including existing and now sanctioned facilities	To be renewed/reviewed once in 12 months. The borrower to submit necessary papers / documents / financial statements, etc. at the end of 10 th month from the date of this sanction for ensuring timely renewal. Any delay will attract penal interest.

10. KYC guidelines:

a) In terms of directives of RBI currently in force, KYC (Know Your Customer) guidelines are applicable and the required personal information / data as and when sought by the Bank should be furnished.

b) In case the borrower is a Company falling under the purview of the Companies Act, the release of Credit Facilities will be subject to the Company holding valid Corporate Identity Number (CIN) and all Directors of the Company holding "Director's Identification Number (DIN).

11. Major changes in the constitution of the borrower: Change if any, in the constitution of borrower, viz Reconstitution of Partnership Firm or conversion of Private Limited Company into Public Limited Company or changes in Constitution/ Directors, proposals for merger / takeover etc., should be advised immediately to the Bank in writing. The bank has the sole discretion to accept or reject such reconstitution / conversion / changes and until such time, the same will have the right to suspend the operation of the limits and in the event, the Bank does not accept / recognize such reconstitution / conversion / changes, the Bank will have the right to withdraw the undrawn limits.

12. Valuation of stock: The borrower should maintain suitable records to evidence the basis of quantification/valuation of raw materials, components, work-in process and finished goods charged to the Bank. The basis of valuation shall be as follows:

- a) Raw Materials (RM): at cost or market value whichever is lower
- b) Work-in-Process: at RM value plus approximate direct expenses
- c) Finished Goods: at cost of production or market value, whichever is lower

For, BADRI TEX
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13. Valuation report: Valuation report on the properties/machineries charged to the Bank will be obtained afresh every 3 years or earlier or as and when deemed necessary by the Bank from the Panel Valuers of the Bank at the cost of the borrower.

14. Stock Audit/Credit Audit: In addition to the regular stock inspection by branch officials, Stock audit and/or Credit Audit will be conducted as per the extant guidelines of the Bank and the cost of the same to be borne by the borrower.

15. Securitisation of Assets charged: The Bank shall have the right to securitize the secured assets and in the event of such securitisation the Bank is not bound to send an individual intimation as to the said securitisation to the borrower and/or guarantor(s).

16. Adverse effects in the conduct of business: The borrower shall keep the Bank informed of the happening of any event likely to have substantial effect on their profit or business; if, for instance, monthly production or sales are substantially less than what had been indicated to the Bank, the borrower will inform the Bank accordingly, with explanations and the remedial steps proposed to be taken.

17. Liability of Guarantors: Guarantor/s is/are advised to take notice that the bank shall have the right to exercise discretion with regard to allowing the loanee to withdraw amount from the loan account over and above the limit sanctioned and the guarantee to be extended shall cover such an eventuality also.


Manager II Line


Branch Head

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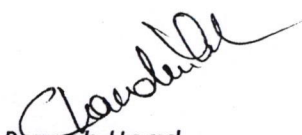
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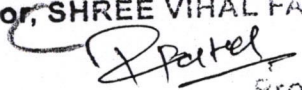
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Manager II Line



Branch Head

For BADRI TEX

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